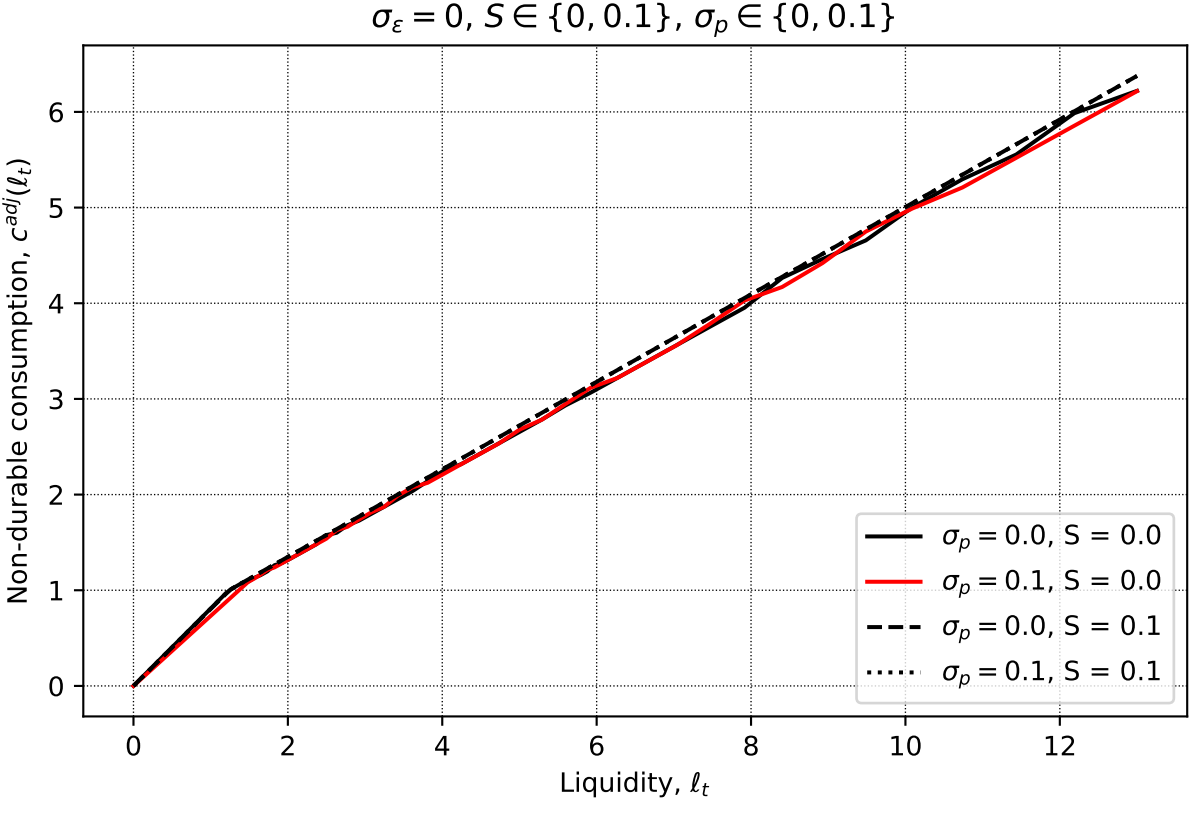
$\sigma_\varepsilon = 0$, $S \in \{0, 0.1\}$, $\sigma_p \in \{0, 0.1\}$
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0
1
2
3
4
5
6
0
2
4
6
8
10
12
$\sigma_p = 0.0$, S = 0.0
$\sigma_p = 0.1$, S = 0.0
$\sigma_p = 0.0$, S = 0.1
$\sigma_p = 0.1$, S = 0.1